Consultation: Council Tax High-Value Property Bands (Mansion Tax)

July 2026

Scottish Government
Riaghaltas na h-Alba

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1. Introduction

The Scottish Government is introducing two new Council Tax bands for high-value properties in Scotland worth over £1 million; this has been referred to as a 'Mansion Tax'. This was first announced as part of the Scottish Budget 2026–27, and reflected in the Scottish National Party's 2026 manifesto and 100 Days Plan. The new bands will take effect from 1 April 2028, subject to the agreement of the Scottish Parliament.

This consultation paper sets out how the new bands will work and seeks views on the Council Tax rates for the new bands. The rates set out in this paper are illustrative and once final rates have been determined, they will be set in legislation. This consultation is an opportunity for individuals, households, communities and organisations across Scotland to contribute their views before that decision is made.

This consultation is separate from, and does not affect, the Scottish Government's wider programme of engagement on Council Tax reform[1], including the consultation on the Future of Council Tax in Scotland.[2] That programme of engagement explored a range of options for broader reform of the Council Tax system. The Scottish Government intends to publish the independent analysis of the consultation responses and engagement events, and a summary of the stakeholder discussions – which together formed the full programme of engagement on wider reform – later in the year. The introduction of new high-value property bands is a targeted reform at the very top of the existing system and does not pre-judge the outcome of wider reform.

To deliver the two new high-value property bands, primary legislation will be introduced in the Scottish Parliament to enable new bands to take effect from 1 April 2028. This implementation date provides sufficient lead-in time for Scottish Assessors to complete a targeted revaluation of residential properties worth over £1 million. It provides time for local authorities to update their systems and for households to be notified of any changes to their Council Tax band before the new arrangements come into effect.

Your views on the proposed rates will help inform decisions about the rates that are set for the new bands through legislation.

[1] Building consensus on Council Tax reform - gov.scot
[2] Future of council tax in Scotland: consultation - gov.scot

2. Background and Context

2.1 Council Tax in Scotland

Council Tax is a local tax on domestic properties. It is paid by households across Scotland, with over 2.5 million chargeable dwellings, and helps fund a wide range of important local services including schools, social care, roads, libraries and waste collection.[3] In 2026–27, Council Tax is expected to raise around £3.5 billion net revenue for local government across Scotland.[4]

Over recent years, Council Tax income has made up around 19 percent of the total general funding available to local government, approximately similar to income from non-domestic rates (NDR) which is a property-based tax charged to businesses and the public and third sectors. The largest share of local government funding (over 60 percent) comes from the General Revenue Grant, which is paid by the Scottish Government. The rest comes from other local income sources such as taxes, fees and charges.[5]

All homes are placed into one of eight Council Tax property valuation bands, from Band A to Band H.[6] These bands are based on what the property would have been worth on 1 April 1991, a date known as the market reference point.[7] The valuation of each home into the property bands, is carried out by independent local Assessors, who maintain the Valuation Lists for each council area.[8]

Each of Scotland's 32 local authorities is responsible for setting the Band D rate in their area and for managing the administration of Council Tax. This includes issuing bills, collecting payments, and applying any discounts, exemptions or reductions. While the system is defined by national rules, it is operated locally, which means that the amount paid by households in the same band can vary depending on where they live.[9]

The amount a household pays depends on several factors:[10]

- the valuation band assigned to the property (e.g. a home in Band A will have a lower Council Tax charge than a home in Band D);
- the Band D rate set by the local council;
- any discounts, such as the 25 percent discount for single adult households; and
- any exemptions, such as for student households.

The banding structure (Bands A to H) has remained unchanged since Council Tax was introduced over 30 years ago. Although the banding system has not changed since

[3] The Funding of Local Government in Scotland, 2025-2026 - gov.scot
[4] Council Tax Base (CTAXBASE), Council Tax Assumptions (CTAS) - Scottish Government Council Tax Datasets
[5] The Funding of Local Government in Scotland, 2026-2027
[6] Council Tax - Local government - gov.scot
[7] Council Tax Bands – Scottish Assessors
[8] Council Tax Bands – Scottish Assessors
[9] Council Tax - Local government - gov.scot
[10] Council Tax - Local government - gov.scot

Council Tax was introduced in 1993, some adjustments were made in 2017 to increase charges for properties in Bands E to H.[11]

The bands themselves are fixed nationally, but each council decides how much to charge for Band D. The tax charged for the other bands is set using fixed ratios in relation to Band D.[12]

The table below shows the current band structure and average tax charges across Scotland for 2026–27.

Figure 1: Scottish Council Tax bands and bills

A data table showing the share of properties in each Council Tax band and gross bills

Band	1991 value (Upper Threshold)	Share of properties	Tax rate relative to band D	Standard gross tax bill, Scotland average (2026-27)
A	£27,000	19.1%	0.667	£1,102
B	£35,000	22.3%	0.778	£1,286
C	£45,000	16.3%	0.889	£1,470
D	£58,000	14.0%	1.000	£1,653
E	£80,000	13.9%	1.314	£2,172
F	£106,000	8.4%	1.625	£2,687
G	£212,000	5.4%	1.958	£3,238
H	∞	0.6%	2.450	£4,051

Source: Council Tax Base (CTAXBASE), Council Tax Assumptions (CTAS)

Share of dwellings in each band (2025-26) and average bills (2026-27) calculated using data from the Scottish Government Council Tax Datasets

2.2 The case for change at the top of the system

In the current system, properties worth several million pounds can face a Council Tax bill that is only marginally higher than a property worth a fraction of that amount. For example, under the current system, there are circumstances where a multi-million-pound home in Band H could face a Council Tax bill less than £1,000 more than a property worth one-tenth of its value in Band G.

There are two related causes for this that are rooted in the design and age of the current system:

- The first is that the difference in charges between bands in the existing system are not necessarily significant for those at the top of the property distribution. Band H includes properties with a broad range of values - any property worth more than £212,000 as at 1991. These properties have a tax rate of 2.45 relative to Band D

[11] Things you need to know about this release - Council Tax Reduction in Scotland 2017-2018 - gov.scot
[12] Council Tax - Local government - gov.scot

(i.e. 2.45 times the Band D charge). That single rate applies to all properties in Band H, even those that are at the higher end of property value distribution.[13]

- The second is that there has been no general revaluation since 1991, so the band a property is placed in for Council Tax reflects what it was estimated to be worth on 1 April 1991, not its value today. The property markets across Scotland have changed substantially and unevenly between 1991 and the present day.[14] Consequently, a property could sit in a much lower Council Tax Band, based on 1991 values, while being worth considerably more in today's market than a property currently in Band H. Similarly a property in Band G or H may have grown in value very slowly since 1991, and would sit in a much lower Band were the system based on recent market valuations.[15]

This feature of the current system weakens the link between property value and tax liability.

2.3 Commitment and Reform

To address this, Scottish Ministers announced in the Scottish Budget 2026–27 that they would introduce two new Council Tax bands above band H for properties in Scotland worth over £1 million (a “Mansion Tax”).

That commitment does not affect the Scottish Government's consideration of broader reform. A separate programme of engagement on longer-term Council Tax reform was undertaken in the last Parliament. The Future of Council Tax in Scotland consultation explored a broad range of options for reform of the whole system. Any decisions on broader change will be taken as part of cross-party discussions with local government. The new high-value bands do not pre-judge the outcome of that work.

2.4 Operating Within The Existing System

The new bands will operate entirely within the existing Council Tax framework. Council Tax in Scotland is a charge on occupation, and this will continue to be the case for Band I and Band J properties. This means that existing protections, such as discounts, exemptions and the Council Tax Reduction scheme, will continue to apply in the usual way.

[13] Scottish Government Council Tax Datasets
[14] Adam et al. (2025), ‘Revaluation and reform of council tax in Scotland: design considerations and potential impacts’, Scottish Government Research Report
[15] Adam et al. (2025), ‘Revaluation and reform of council tax in Scotland: design considerations and potential impacts’, Scottish Government Research Report

3. High-Value Property Bands

3.1 The New Bands - Band I & Band J

The Scottish Government will introduce two new Council Tax valuation bands above the current Band H:

- Band I: for properties with an estimated open market capital value of more than £1 million and up to £2 million as at 1 April 2026.
- Band J: for properties with an estimated open market capital value of more than £2 million as at 1 April 2026.

The thresholds for the new bands are based on current property values as at 1 April 2026. This is different from the 1991 market reference point used for Bands A to H, reflecting the need to identify high-value properties on a current and meaningful basis.

All other homes will remain on the existing 1991 valuation basis. As such, no property currently worth less than £1 million in Bands A to H will move bands as a result of introducing the high-value property bands.

3.2 Targeted Revaluation

To identify which properties fall within Band I or Band J, Scottish Assessors will carry out a targeted revaluation.

The targeted revaluation applies only to properties estimated to be worth more than £1 million at 1 April 2026 values. The existing 1991 valuation basis for all other properties will remain entirely intact. This means that all other homes in Scotland – i.e. any property estimated to be worth less than £1 million as at 1 April 2026 - will remain on the existing 1991 valuation basis and will remain unchanged in their current Bands A to H.

This targeted approach means the introduction of high-value bands does not constitute a general revaluation of all properties in Scotland. It is a focused exercise applying to a very small number of properties at the very top of the system. The Scottish Government estimates that this is expected to affect fewer than 1% of all homes in Scotland - approximately 15,000 properties in total (see Figure 3 below).

The new bands will affect only those households living in properties estimated to be worth more than £1 million. No household living in a property worth less than £1 million will face any additional Council Tax charges as a result of this change. The existing Council Tax position of all other households will be unaffected.

3.3 Revenue

Any additional revenue raised through the new bands will be retained in full by local authorities to support the local services communities rely on. The distribution of high-value properties varies across Scotland, and the allocation of additional revenue between councils will be agreed with the Convention of Scottish Local Authorities (COSLA) through established governance and settlement processes.

4. Illustrative Rates and Revenue

4.1 Band I and J Council Tax Rates

Council Tax charges are not set as fixed annual amounts. Instead, each band is assigned a multiplier – a fixed ratio relative to Band D – that is set in legislation. Each local authority then sets its own Band D rate annually, and the charges for all other bands are calculated automatically from that figure using the legislative multipliers.

This means the actual Council Tax bill for a Band I or Band J property will vary between council areas, just as bills for Bands A to H vary today. The multipliers determine the relative charge; the absolute amount depends on where the property is located.

For context, Figure 1 in Section 2.1 sets out the current multipliers for Bands A to H. Band H currently carries a multiplier of 2.45 relative to Band D. This means that in a local authority area, a Band H property pays 2.45 times the amount paid by a Band D property (e.g. where a Band D property currently pays £1,653, a Band H pays 2.45 times that charge and therefore has an annual liability of £4,051).

The tax rates (multipliers) for Band I and Band J will be set through primary legislation and will be higher than the current Band H multiplier, reflecting the higher values of the properties in those bands.

4.2 Illustrative Rates

The rates below are illustrative. They are intended to provide respondents with a concrete basis on which to form and share their views. They do not represent final or proposed rates. Final multipliers for Band I and Band J will be set through primary legislation, informed by the responses to this consultation, engagement with local government, and consideration by the Scottish Parliament.

The illustrative tax rates (multipliers relative to Band D) that are being explored are approximately:

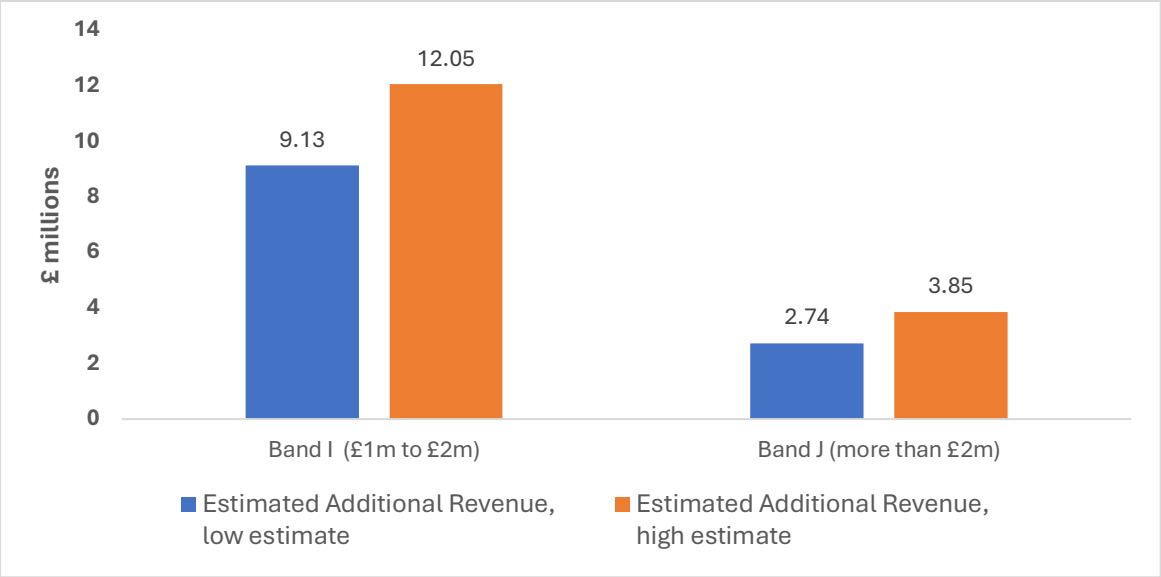
- 2.886 for Band I - equivalent to an annual charge of around £4,770 (based on 2026-27 Band D charges).
- 4.628 for Band J - equivalent to an annual charge of around £7,650 (based on 2026-27 Band D charges).

This means that, compared to the average Band H charge, it is estimated that:

- Band I properties (valued between £1 million and £2 million) would pay around £720 more per year than the Band H.
- Band J properties (valued at over £2 million) would pay around £3,600 more per year than the Band H.

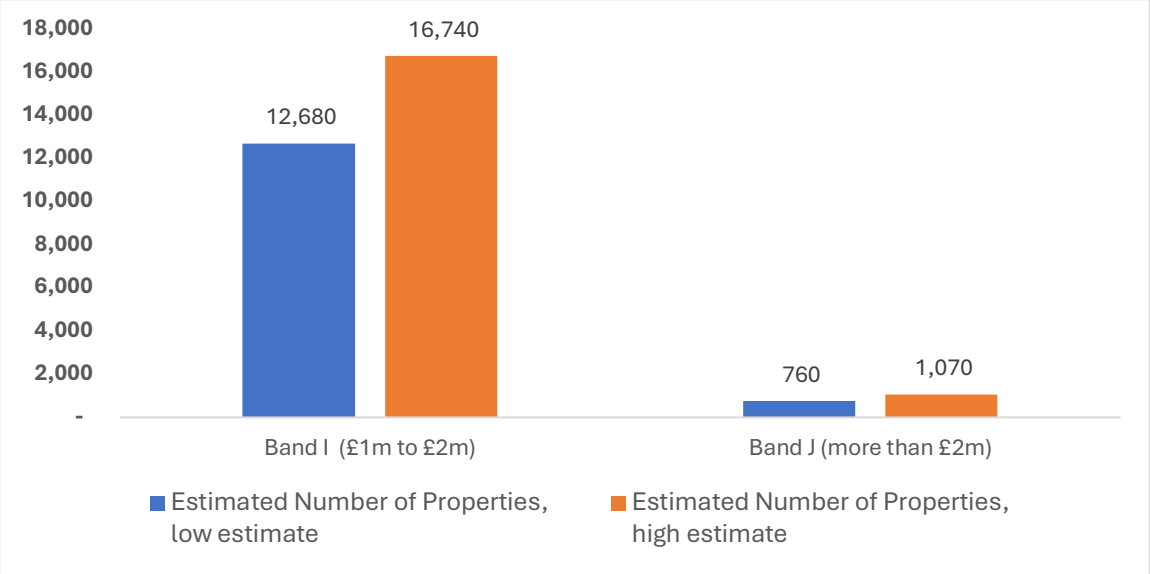
As set out in Figure 2, on the basis of these illustrative rates, the new bands are estimated to raise between £12 million and £16 million per year in total across Scotland. This additional revenue would be retained by Local Government.

Figure 2: Estimates of additional annual revenue from Bands I and J



Source: Illustrative Scottish Government estimates based on Records of Scotland data, CTAXBASE statistics and analysis by the Institute for Fiscal Studies

Figure 3: Estimates of number of properties in Bands I and J



Source: Illustrative Scottish Government estimates based on Records of Scotland data, CTAXBASE statistics and analysis by the Institute for Fiscal Studies

4.3 Geography and Distribution

High-value properties are not evenly distributed across Scotland. They are concentrated in particular parts of the country, including in and around Scotland's cities and in certain rural areas. The proportion of properties likely to fall within Band I or Band J will therefore vary considerably by council area. Further, any property may move into Band I and J from any existing Band (A to H) providing the property is worth more than £1 million as at 1 April 2026.

This variation has implications for the distribution of additional revenue between councils. As noted above, the allocation of that revenue will be agreed with COSLA through established governance processes. Views on this, and on how the geographic concentration of high-value properties may affect households and communities in different parts of Scotland, are welcome as part of responses to this consultation.

5. Affordability and Protections

The Scottish Government recognises that for some households, moving into a new higher band could represent a significant increase in Council Tax liability. This is particularly relevant for households that are asset-rich but have a more limited income - for example, those who have owned their home for a long time and have seen its value increase significantly, but whose income has not changed in the same way.

The Scottish Government's wider Future of Council Tax in Scotland consultation explored these questions, and examined various options including:

- phased or transitional arrangements to limit year-on-year increases in liability;
- deferral schemes allowing households to defer payment until a triggering event such as sale or transfer of the property; and
- the extension or adaptation of the Council Tax Reduction scheme to provide additional support to those facing increased liability.

These options are set out in detail in Section 4 of the Future of Council Tax in Scotland consultation paper.[16]

This consultation does not seek further views on those options. Any decisions on whether to introduce such protections alongside the new high-value bands will be informed by the responses and conclusions from that wider work.

6. Next Steps

This consultation has set out the Scottish Government's proposal to introduce two new high-value Council Tax bands, and has invited views on the illustrative rates for Band I and Band J.

All responses will be analysed and considered carefully. A report summarising the responses received will be published following the close of the consultation. The findings will inform the multipliers set for Band I and Band J through primary legislation, which will be introduced to the Scottish Parliament.

Responses to this consultation will also be considered alongside the findings from the Future of Council Tax in Scotland consultation. That wider consultation is examining the full range of options for longer-term reform of the Council Tax system, and its conclusions will inform decisions on affordability protections and any transitional arrangements that may accompany the introduction of these two new bands.

[16] Future of council tax in Scotland: consultation - gov.scot

We encourage as many people as possible to share their views. The new bands will affect a small number of households, but the rate at which they are charged is a matter of public interest - and responses from individuals, communities and organisations across Scotland will help ensure that the rates set through legislation are well-informed.

About You Questions

1. About you Question 1

[For individual respondents] Please tell us which local authority area(s) you live in

Local Authority Area(s):

[For organisational respondents] Please tell us which local authority area(s) your organisation operates in

Local Authority Area(s):

2. About you Question 2

If you pay Council Tax, please indicate which Council Tax band(s) apply to the property (or properties) for which you pay Council Tax:

- ☐ Band A
- ☐ Band B
- ☐ Band C
- ☐ Band D
- ☐ Band E
- ☐ Band F
- ☐ Band G
- ☐ Band H
- ☐ I don’t pay Council Tax
- ☐ I don’t know

3. About you Question 3

If you pay Council Tax, please indicate your estimate of the current value of the property for which you pay Council Tax:

- ☐ Less than £1 million
- ☐ Between £1 million and £2 million
- ☐ More than £2 million
- ☐ I don’t pay Council Tax

Questions for Consultation

The illustrative rates for the two high-value bands mean that, compared to the average Band H charge, it is estimated that:

- Band I properties (valued at over £1 million) would pay around £720 more per year. An estimated annual charge of around £4,770 based on 2026-27 average charges.
- Band J properties (valued at over £2 million) would pay around £3,600 more per year. An estimated annual charge of around £7,650 based on 2026-27 average charges.

This would mean relative tax rates (multipliers) relative to Band D of approximately 2.886 for Band I and 4.628 for Band J.

These figures are illustrative only. Final multipliers for Band I and Band J will be set through primary legislation.

We are seeking views on what those rates should be.

1. Please indicate your most preferred option for the Band I relative tax rate.

[For illustrative purposes, a relative tax rate of 2.886 produces an estimated annual charge of around £4,770, calculated using the 2026-27 average Band D charge in Scotland].

☐ Less than 2.886
☐ 2.886
☐ More than 2.886
☐ Don't know

2. Please indicate your most preferred option for the Band J relative tax rate.

[For illustrative purposes, a relative tax rate of 4.628 produces an estimated annual charge of around £7,650, calculated using the 2026-27 average Band D charge in Scotland].

☐ Less than 4.628
☐ 4.628
☐ More than 4.628
☐ Don't know

3. Please provide any comments or views on the consultation themes that you have not been able to share above. [free text, 1,500 characters maximum]

Responding to this Consultation



We are inviting responses to this consultation.

Please respond to this consultation using the Scottish Government's consultation hub, Scottish Government consultations - Citizen Space.

Access and respond to this consultation online at, https://consult.gov.scot/local-government-and-communities/council-tax-high-value-property-bands

You can save and return to your responses while the consultation is still open. Please ensure that consultation responses are submitted before the closing date of 24 August 2026.

If you are unable to respond using our consultation hub, please complete the Respondent Information Form and send your responses to:

Local Taxation Unit

Directorate of Local Government

Scottish Government

Victoria Quay

Edinburgh

EH6 6QQ

Responses may also be emailed to LocalTax@gov.scot.

Handling your response

If you respond using the consultation hub, you will be directed to the About You page before submitting your response. Please indicate how you wish your response to be handled and, in particular, whether you are content for your response to published. If you ask for your response not to be published, we will regard it as confidential, and we will treat it accordingly.

All respondents should be aware that the Scottish Government is subject to the provisions of the Freedom of Information (Scotland) Act 2002 and would therefore have to consider any request made to it under the Act for information relating to responses made to this consultation exercise.

If you are unable to respond via Citizen Space, please complete and return the Respondent Information Form included in this document.

To find out how we handle your personal data, please see our privacy policy: Privacy - gov.scot

Next steps in the process

Where respondents have given permission for their response to be made public, and after we have checked that they contain no potentially defamatory material, responses will be made available to the public at, Scottish Government consultations - Citizen Space.

If you use the consultation hub to respond, you will receive a copy of your response via email.

Following the closing date, all responses will be analysed and considered along with any other available evidence to help us. Responses will be published where we have been given permission to do so. An analysis report will also be made available.

Feedback

If you have any comments about how this consultation exercise has been conducted, please send them to the contact address above or to, LocalTax@gov.scot.

Scottish Government Consultation Process

Consultation is an essential part of the policymaking process. It gives us the opportunity to consider your opinion and expertise on a proposed area of work.

You can find all our consultations online: Scottish Government consultations - Citizen Space.

Each consultation details the issues under consideration, as well as a way for you to give us your views, either online, by email or by post.

Responses will be analysed and used as part of the decision-making process, along with a range of other available information and evidence. We will publish a report of this analysis for every consultation. Depending on the nature of the consultation exercise the responses received may:

- indicate the need for policy development or review
- inform the development of a particular policy
- help decisions to be made between alternative policy proposals
- be used to finalise legislation before it is implemented

While details of particular circumstances described in a response to a consultation exercise may usefully inform the policy process, consultation exercises cannot address individual concerns and comments, which should be directed to the relevant public body.

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